

TO SELL USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Set the chart to your preferred timeframe.

Apply Donchian Channel with default settings.

Let the price touch the lower band and take a pullback.

The pullback should be followed by a fall in the price and a breaking of the lower band.

Once this pattern is spotted, the **SELL** trade is triggered.

Place **STOPLOSS** above the middle band: trail the SL to the first candle's high when the market makes two bullish candles in a row.

TARGET is typically 1:2 Risk to Reward ratio.

In the above image, the market is in a downtrend, and on 9th March 2023 at 12:30 p.m., the price touched the lower band followed by a pullback till the middle band indicated the sell signal. Once the price touched the lower band again, we entered the trade. The stoploss was above the middle band. To increase the Risk to Reward ratio, the stoploss could be trailed till the first breakdown candle's high when the price formed to bearish candles in a row. This strategy of trailing the stoploss can reduce risk and provide a great trade opportunity.